



Business Finance

BUSINESSES AIM TO MAKE MONEY, AND MATH PLAYS AN IMPORTANT PART IN ACHIEVING THIS AIM.

The aim of a business is to turn an idea or a product into a profit, so that the business earns more money than it spends.

What a business does

Businesses take raw materials, process them, and sell the end product. To make a profit, the business must sell its end product at a price higher than the total cost of the materials and the manufacturing or production. This example shows the basic stages of this process using a cake-making business.



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▷ Making cakes

This diagram shows how a cake-making business processes inputs to produce an output.

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INPUTS

Inputs are raw materials that are used in making a product. For cake making, the inputs would include the ingredients such as flour, eggs, butter, and sugar.

△ Costs

Costs are incurred at the input stage, when the raw materials have to be paid for. The same costs occur every time a new batch of cakes is made.



Revenue and profit

There is an important difference between revenue and profit. Revenue is the money a business makes when it sells its product. Profit is the difference between revenue and cost—it is the money that the business has “made.”

profit is money a business “makes”
revenue is earned by selling final product

$$\text{Profit} = \text{Revenue} - \text{Costs}$$

costs are incurred in production, for example, wages and rent

some costs are fixed, and the money is spent however much of the product is sold—so costs do not start at 0

▷ Cost graph

This graph shows where a business begins to make a profit: where its revenue is greater than its costs.

